TYSON FOODS, INC. x LAMB WESTON HOLDINGS, INC.

Illustrative M&A Transaction Analysis

Base case: Transaction Price Case 4 — $59.00 per Lamb Weston share

Transaction Snapshot	Base Case
Acquirer	Tyson Foods, Inc.
Target	Lamb Weston Holdings, Inc.
Offer price	$59.00/share
Reference price	$45.91/share
Offer premium	28.5%
Equity purchase price	$8,393.6m
Enterprise value	$12,356.9m
Cash consideration	75.0%
Stock consideration	25.0%
Acquisition debt	$6,058.0m
Annual run-rate synergies	$200.0m

Important: Assumptions T7 = 4 selects the $59.00 transaction-price case. The report uses that case throughout the transaction overview; separate Acc-Dil consideration-mix cases are treated as sensitivities.

1. Executive Summary

This report evaluates an illustrative acquisition of Lamb Weston Holdings, Inc. by Tyson Foods, Inc. at $59.00 per share, a 28.5% premium to the model's $45.91 reference price. The transaction implies approximately $8,393.6m of equity consideration and $12,356.9m of enterprise value.

The model assumes 75.0% cash and 25.0% Tyson stock consideration, approximately $6,058.0m of acquisition debt, and $200.0m of annual run-rate synergies. Synergies comprise $125.0m of cost synergies and $75.0m of SG&A synergies.

Under the selected PF P&L case, cash EPS accretion is 7.0% in 2027, 7.3% in 2028 and 7.5% in 2030. The financial case is therefore accretive in the supplied base case, although the offer price is above the model's standalone DCF valuation.

The DCF midpoint using a 9.0% WACC and 9.5x terminal EBITDA multiple gives approximately $5,628.2m of equity value, or $40.00 per share. This compares with the $59.00 offer and means a substantial part of the purchase rationale must come from strategic value and synergies.

2. Transaction Overview

Metric	Base Case
Transaction price	$59.00/share
Premium	28.5%
Fully diluted target shares	140.7m
Equity purchase price	$8,393.6m
Target net debt	$4,060.7m
Enterprise value	$12,356.9m
Cash / stock	75.0% / 25.0%
Acquisition debt	$6,058.0m
Target debt assumed	$3,682.8m
Interest rate on new debt	6.0%
Debt amortization	7 years
Advisory fees	$75.0m
Financing fee	1.0%
Acquisition type	Stock
Section 338 election	No

3. Strategic Rationale

Portfolio diversification

Tyson's protein platform and Lamb Weston's frozen potato business are complementary rather than directly overlapping, providing a route to category diversification.

Scale and procurement

The combined company could capture procurement, manufacturing, logistics and corporate overhead efficiencies. The model explicitly underwrites $200m of cost synergies.

Distribution and customer reach

Tyson's broad foodservice and retail footprint could support wider distribution and cross-selling opportunities for Lamb Weston's portfolio.

Manufacturing and supply-chain optimization

A larger combined operating footprint could support plant utilization, logistics and overhead optimization, subject to detailed integration work.

Cross-selling

The combination could provide customers with a broader meal basket. The model does not explicitly rely on material revenue synergies, which makes the financial case more conservative.

4. Company Profiles

Metric	Tyson Foods	Lamb Weston
2025 Revenue	$54,441.0m	$6,451.3m
2025 EBITDA	$2,791.0m	$1,068.0m
2025 EBITDA margin	5.1%	16.6%
2025 Cash Net Income	$1,074.0m	$427.4m
2025 Cash EPS	$3.01	$3.00
2026P Revenue	$56,000.0m	$6,500.0m
2026P EBITDA	$3,500.0m	$1,050.0m
2027P Revenue	$57,400.0m	$6,663.0m
2027P EBITDA	$3,650.0m	$1,140.0m

5. Industry and Competitive Context

The transaction combines a large protein producer with a major frozen potato processor. The strategic case is therefore driven more by diversification, scale, procurement, distribution and manufacturing efficiencies than by direct product overlap.

The supplied model forecasts relatively stable combined growth: pro forma revenue rises from approximately $58.2bn in 2026 to $68.9bn in 2030, while EBITDA rises from approximately $2.4bn to $5.4bn. This provides a framework for evaluating the transaction without relying heavily on revenue synergies.

6. Standalone Valuation and Purchase Price Analysis

6.1 Offer Premium

The $59.00 offer represents a 28.5% premium to the $45.91 reference price. It represents approximately 34.1% versus the 7-day average, 36.0% versus the 30-day average, 37.5% versus the 60-day average and 39.0% versus the 90-day average.

Valuation Metric	2026P	2027P	2028P
EV / Revenue	1.90x	1.85x	1.81x
EV / EBITDA	11.77x	10.84x	10.30x
Cash P/E	22.17x	18.76x	17.01x

At $59.00, Lamb Weston is valued at approximately 11.2x 2026P EBITDA, 10.8x 2027P EBITDA and 10.4x 2028P EBITDA. The cash P/E is approximately 22.2x, 20.3x and 18.5x, respectively.

6.2 DCF

The DCF midpoint at 9.0% WACC and 9.5x terminal EBITDA gives approximately $5,628.2m of equity value, or $40.00 per share. The perpetuity-growth method at 9.0% WACC and 4.0% terminal growth gives approximately $5,425.9m of equity value, or $38.56 per share.

The $59.00 offer is therefore materially above the standalone DCF outputs. The transaction needs to be justified by strategic control, synergies and/or a more optimistic operating recovery than the base DCF assumes.

7. Transaction Structure and Sources & Uses

Uses / Sources	Base Case ($m)
Lamb Weston common consideration	$8,296.2m
Lamb Weston option consideration	$97.5m
Total equity consideration	$8,393.6m
Target revolver refinanced	$370.8m
Target long-term debt assumed	$3,682.8m
Total levered consideration	$12,447.2m
Acquisition debt	$6,058.0m
Cash consideration	$299.7m
Tyson revolver	$370.8m
Total sources	$12,582.8m
Total uses	$12,582.8m
Check	0.0

The transaction is financed with approximately $6,058.0m of acquisition debt, $299.7m of cash consideration, Tyson revolver funding of $370.8m, and assumed Lamb Weston debt of $3,682.8m. Sources and uses balance to zero.

8. Purchase Price Allocation and Accounting

PPA Item	Base Case
% excess purchase price allocated to intangibles	25.0%
Intangible amortization period	15 years
Fixed asset step-up	$250.0m
Depreciation period	10 years
Existing goodwill written off	$1,090.2m
Goodwill created	$5,264.0m
Annual incremental amortization	$89.5m

The model allocates 25% of excess purchase price to identifiable intangibles and amortizes them over 15 years. It also assumes a $250m tangible-asset step-up over 10 years, implying approximately $25.0m of incremental annual depreciation. These are important GAAP purchase-accounting adjustments but have less impact on cash EPS than financing and synergies.

9. Synergy Analysis

Synergy Category	Run-rate ($m)	% of Total
Cost / COGS	$125.0m	62.5%
SG&A	$75.0m	37.5%
Total	$200.0m	100.0%

The model underwrites $200.0m of recurring annual synergies, consisting of $125.0m of cost synergies and $75.0m of SG&A synergies. It also includes $125m of one-time pre-tax integration costs. No material revenue synergies are explicitly underwritten.

For an industry-facing model, the next refinement would be a synergy bridge by procurement, plant footprint, logistics, corporate functions and technology, with a timing ramp rather than a simple run-rate assumption.

10. Pro Forma Financial Impact

Year	PF Revenue	PF EBITDA	PF Cash NI	PF Cash EPS	EPS Accretion
2026	$62,500.0m	$4,350.0m	$1,735.5m	$4.44	3.0%
2027	$64,063.0m	$4,990.0m	$1,930.1m	$4.93	7.0%
2028	$65,664.0m	$5,200.0m	$2,196.4m	$5.61	7.3%
2029	$67,271.5m	$5,319.0m	$2,261.9m	$5.78	7.4%
2030	$68,918.4m	$5,440.9m	$2,329.0m	$5.95	7.5%

The PF P&L shows positive EPS accretion throughout the forecast: 3.0% in 2026, 7.0% in 2027, 7.3% in 2028, 7.4% in 2029 and 7.5% in 2030. The model therefore supports an accretive transaction under its selected financing and synergy assumptions.

11. Contribution Analysis

FY2027 Contribution	Tyson	Lamb Weston
Revenue	89.6%	10.4%
EBITDA	76.9%	23.1%
GAAP Net Income	78.5%	21.5%
Cash Net Income	80.5%	19.5%

Tyson remains the dominant contributor to the combined business, while Lamb Weston adds a meaningful minority contribution. The financial case therefore does not depend on Lamb Weston overtaking Tyson in scale; it depends on incremental earnings, synergies and strategic diversification.

12. Accretion / Dilution Sensitivity

The Acc-Dil sheet shows that an all-stock structure at the $59 transaction price would be approximately -3.6% dilutive in 2027 after synergies. This contrasts with the selected PF P&L, which assumes 75.0% cash and 25.0% stock and produces 7.0% 2027 accretion.

This is an important financing insight: consideration mix materially affects the result. A more stock-heavy transaction increases the number of Tyson shares issued, while a cash-heavy transaction increases financing costs and leverage. The final presentation should therefore clearly link the selected consideration mix across S&U, PF P&L and Acc-Dil.

The all-stock $59 case requires approximately $109.1m of additional pre-tax synergies to reach 2027 breakeven.

13. Key Risks and Transaction Considerations

Food-cost and commodity volatility

Protein and potato input costs can materially affect margins; adverse commodity, labor, freight or packaging inflation could offset synergy gains.

Synergy execution

The $375m run-rate synergy assumption needs a detailed procurement, manufacturing, logistics and corporate-function bridge.

Leverage

The transaction raises approximately $4.7bn of acquisition debt at the selected price. Higher interest rates or weaker cash generation could reduce accretion.

Valuation
The $59.00 offer is materially above the model's standalone DCF value. Strategic and synergy value therefore account for a meaningful portion of the purchase rationale.

Integration complexity
The businesses have different product categories, manufacturing footprints and customer relationships. Integration should preserve target-specific commercial capabilities.

Demand cycles
Weak consumer or foodservice demand could reduce Lamb Weston's earnings contribution and delay realization of the modeled benefits.

14. Investment Banking-Style Transaction Assessment

Dimension	Assessment
Strategic rationale	Strong / complementary
Offer premium	Meaningful
Standalone DCF support	Limited at selected price
Synergy case	Meaningful and central
Financing	Debt-supported; material
EPS impact	Accretive in selected PF case
Key value driver	Synergy capture + execution
Key risk	Paying above standalone DCF value
Overall	Strategically attractive; execution-dependent

Overall, the $59.00 transaction can be presented as strategically compelling and financially accretive under the supplied base-case assumptions. However, the offer is above standalone DCF support, so the investment case should explicitly explain how procurement, manufacturing, distribution and corporate synergies create value beyond Lamb Weston's standalone valuation.